

tion is coming, and in fact has already begun, answer this question by saying that people are shaken somewhat in their confidence as to the future, partly by the events of last May, partly by the corn crop failure, partly by the steel strike, and partly the depression abroad, and that there is in progress a process of contraction of confidence which will closely parallel the process of growth between 1897 and 1901.

It is not an easy thing at any time to weigh and measure confidence very exactly. No one, however, will deny that the stock market furnishes very clear proof that a different state of things exists in this respect than existed last May before the drop in prices arising from the "Northern Pacific corner." Certain it is, moreover, that the loss of the corn crop has materially shaken a good many business men's confidence in the purchasing power of people in many parts of the country where the loss of corn will be most severely felt. The steel strike has beyond doubt effected a considerable disturbance in the iron trade and has made it very difficult for people in that industry to see their way ahead.

Of course, it can also be said with truth that in parts of the country where people are not directly affected by corn, by steel or by Wall Street, there is no loss of confidence. This is true, for example, of the Northwest, where a bountiful wheat crop is assured. Nobody there is worrying about the future as yet. With all due allowance for this, it is yet a significant fact that, whereas three or four months ago all was harmony in commercial and financial circles, there are now some discordant notes that threaten to become louder as time goes on. It is possible that the discord will only be temporary and that confidence will again be restored where it has been shaken, that bountiful crops next year will repair the damage done this year and, in short, that everything will be as it was last winter. History, however, shows that confidence is a tender plant and that when it is most advanced in growth it can least well stand any injury. No one can say that last spring confidence was not well grown.